



Our ref: IM-72751

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Dear Interested Party

Request for submissions: Vocus' proposed acquisition of TPG's fixed line enterprise, government and wholesale business

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Vocus Group Limited's (**Vocus**) proposed acquisition of TPG Telecom Limited's (**TPG**) fixed line enterprise, government and wholesale business customer base and TPG's fibre and transmission networks (the **proposed acquisition**).

Vocus supplies fibre and network services to government, enterprise and wholesale customers, communications and technology services to small and medium sized businesses, and retail customer fixed services. TPG is a mobile network operator. It also operates and supplies fixed broadband services to consumers, small and medium sized businesses and enterprise, and government customers. Further, TPG supplies wholesale telecommunication services. TPG's mobile network and mobile customer base, including fixed wireless customers, (in addition to its consumer and "small office home office" fixed line customer base) are not part of the proposed acquisition. Further details are in **Attachment A**.

The ACCC's investigation is focused on the impact on competition of the proposed acquisition. In particular, we are seeking your views on the likely impact on prices and service quality in the supply of:

- data networks and connectivity services, including fixed line telecommunications services and IP transit
- NBN wholesale aggregation services (the resale of NBN connectivity)
- fixed line voice services, and
- data centres, cloud and security services.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010 (Cth)* (**the Act**). Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on **2 December 2024** via email to mergers@accc.gov.au with the title: *Submission re: Vocus/TPG*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the *Competition and Consumer Act 2010*. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore, please clearly indicate if any information you provide is confidential. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the typed name.

Morag Bond
General Manager
Merger Investigations

Attachment A

Vocus

Vocus is an Australian telecommunications company which supplies retail and wholesale services across Australia.

Vocus provides fibre and network services to government, enterprise and wholesale customers under the Vocus, Nextgen Networks, Amcom Telecommunications and Challenge Networks brands. It also provides voice and broadband services to small and medium businesses (SMEs) through its Commander brand, and retail consumer broadband services under the iPrimus and Dodo brands.

Vocus owns a fibre network, which includes domestic inter-capital transmission and metropolitan fibre infrastructure serving business premises.

TPG

TPG is an ASX listed (**ASX: TPG**) telecommunications company.

The assets that Vocus is proposing to acquire from TPG include the following:

- network assets: TPG's fibre network, including metropolitan, domestic, inter-capital and international subsea cable systems, and data centres that are primarily used for business, enterprise, government, wholesale and SME.
- Vision Network: a wholly-owned subsidiary of TPG, Vision Network is a fixed line broadband network that provides residential broadband access services in selected areas of Sydney, Canberra, Perth, Adelaide, Brisbane, Melbourne, Geelong, Ballarat and Mildura.
- wholesale, government and enterprise products and services: TPG provides fixed line fibre and fixed line network services to wholesale, enterprise and government customers under the TPG Telecom and AAPT brands.

TPG also operates a mobile network, however, this and its active residential fixed line assets (other than fibre and transmission network assets) will be excluded from the proposed acquisition. TPG's consumer, business, enterprise, government and wholesale mobile customers as well as its consumer and "small office home office" retail fixed line customers and business will also be excluded from the proposed acquisition.

The proposed acquisition

On 13 October 2024, Vocus signed a Share Purchase Agreement to acquire 100% of Pipe Networks Pty Limited, being the entity that will hold, post-acquisition, TPG's current fixed line business, enterprise, government and wholesale customer base and TPG's fibre and transmission networks. The proposed acquisition will include subsea cables owned and leased by TPG and TPG's residential wholesale broadband business, Vision Network Pty Limited.

Attachment B

1. Please describe your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with Vocus and/or TPG.
2. Please describe how closely Vocus and TPG compete in the supply of the following services:
 - a) data networks and connectivity services, including fixed line telecommunications services and IP transit
 - b) NBN wholesale aggregation services (the resale of NBN connectivity)
 - c) fixed line voice services, and
 - d) data centres, cloud and security services.

Relevant factors may include price, terms, technical capability, network redundancy, security, bundled offerings and location.

3. Please identify other suppliers of each of the following services and the extent to which and how they compete with Vocus and/or TPG:
 - a) data networks and connectivity services, including fixed line broadband services and IP transit
 - b) NBN wholesale aggregation services (the resale of NBN connectivity)
 - c) fixed line voice services
 - d) data centres, cloud and security services.

For wholesale and retail (including enterprise/business) customers of Vocus and/or TPG

4. Please describe the wholesale or retail products and services you acquire from Vocus and/or TPG and the terms of those arrangements (for example, contract length, value, location).
5. Please describe what factors you consider when selecting a supplier for these services, including for example, price, terms, service offering, technical capability, network redundancy, security and bundled offerings.
6. Please explain how easy or difficult it would be for your business to switch between a merged Vocus/TPG and another supplier for these services, including the costs and timeframes involved with switching.
7. For wholesale customers, please detail your current arrangements for internet and network services, including IP transit (if applicable). If your current supplier was not available, what other options are available?
8. For retail (including enterprise/business) customers, to what extent are other services, such as 5G or low earth orbit satellite services, an alternative for your business?

For wholesale and retail competitors of Vocus and/or TPG

9. Please describe which of the following wholesale or retail products and services you currently supply and estimate your market share(s) for the supply of those products and services:

- data networks and connectivity services, including fixed line broadband services
- NBN wholesale aggregation services (the resale of NBN connectivity)
- fixed line voice services
- data centres, cloud and security services.

10. Please detail your current arrangements for acquiring NBN wholesale aggregation services (if applicable). If your current supplier or aggregator was not available, what other options are available?
11. Describe any trends or changes you see as impacting the competitive landscape in the wholesale supply of data networks and connectivity services, fixed voice line, data centre and cloud and security services.

Proposed Acquisition

12. Do you have any concerns with the proposed acquisition?
13. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition under section 50 of the Act.